Norfolk Southern (NSC): Hold — Valuation Concerns

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A solid eastern railroad at a western multiple. Revenue is stable, free cash flow is $2.16B, and the derailment overhang is fading. But at $323.73 the market prices perfection. Our base case sees $193.40, 40% downside.

Hold — Valuation Concerns	$193.40	$323.73	-40.3%
RATING	BASE TARGET (BLENDED $184.80)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$123.68 / $228.72	10.01%	$12.18B	$4.57B	$2.16B	15.4x
BEAR / BULL TARGETS	LIVE WACC	2025 REVENUE (+0.5%)	2025 OP. INCOME	2025 FREE CASH FLOW	EV/EBITDA (TTM)

Executive summary

We rate Norfolk Southern **Hold — Valuation Concerns** with a $193.40 base-case target (blended $184.80). The operating story is intact: 2025 revenue of $12.18B was roughly flat, operating income of $4.57B is recovering from the derailment-related costs, and free cash flow of $2.16B is healthy. The East Palestine overhang is largely reserved and fading.

> **Model update:** this note reflects our revised Class 1 rail framework: base exit EV/EBITDA raised to 14.5x (from 13.0x) to reflect 15.1-15.5x market TTM multiples, mid-year discounting, a PP&E-linked depreciation schedule replacing flat D&A, and a terminal-value weighting toggle (default 50/50 exit multiple vs Gordon growth).

Base-case assumptions

SCENARIO	EXIT EV/EBITDA	TARGET	UPSIDE
Bear (25%)	12.0x	**$123.68**	-62%
Base (50%)	14.5x	**$193.40**	-40%
Bull (25%)	15.0x	**$228.72**	-29%

WACC 10.01% live (spot 10Y ~5.2% + 1.29 beta x live-solved implied ERP). Detailed EBIT bridge: revenue to EBIT margin to EBIT, cash taxes, plus D&A (PP&E roll), minus capex, minus change in NWC, to unlevered FCF. Mid-year discounting. Terminal value blends Gordon perpetuity (2.5% growth) with EV/EBITDA exit, default 50/50 weighting. 25/50/25 Bear/Base/Bull weights give blended $184.80.

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Bull case: $228.72

Full operating recovery plus volume growth drives the bull case to $228.72, still 29% below spot. The bull case requires the operating ratio to reach UNP-like levels, a high bar.

Bear case: $123.68

Volume softness or renewed cost pressure pushes the bear case to $123.68. Eastern merchandise exposure keeps the downside live.

Verdict

> We rate NSC **Hold — Valuation Concerns**. The business is stabilizing: revenue flat, margins recovering from one-time costs, $2.16B of free cash flow. The concern is purely valuation. At $323.73 and 15.4x TTM EV/EBITDA, NSC trades at a premium multiple more fitting for UNP's superior network, while our 14.5x base exit multiple and 10.01% WACC (the highest of the three, reflecting the 1.29 beta) yield $193.40. We reserve Sell for deterioration; NSC is recovering, not deteriorating. We would turn constructive near $195.

What would change our mind

- **Price:** a decline toward $195 would align price with our base case and offer compensation for eastern cyclicality.
- **Volume inflection:** a sustained carload recovery across merchandise and intermodal would lift every scenario.
- **Multiple regime:** if the market permanently rerates rails above 16x EV/EBITDA, our exit multiples are too conservative.

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Key themes

1. Derailment overhang is fading ACCELERATING

East Palestine costs are largely reserved. As one-time charges roll off, the operating ratio should normalize toward the low 60s, restoring several points of margin.

2. Eastern merchandise leverage STABLE

NSC's merchandise mix gives it torque to industrial recovery. Chemicals, metals, and automotive carloads are the swing factors.

3. The beta demands a discount STABLE

At 1.29 beta and 10.01% WACC, NSC is the highest-risk name of the three in our model. The market multiple does not reflect this: 15.4x versus 15.1x for UNP.

4. Intermodal is the battleground STABLE

Eastern intermodal faces relentless truck competition. Service reliability, not price, is the durable edge.

Other KPIs

METRIC	VALUE
Market cap (at $323.73)	~$74B
2025 revenue / YoY	$12.18B / +0.5%
2025 operating income	$4.57B
2025 free cash flow	$2.16B
EV/EBITDA (TTM)	15.4x
Live WACC	10.01%

Guidance

Watch operating ratio recovery trajectory, merchandise carload trends, remaining derailment reserve releases, and intermodal service metrics.

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Class 1 rails: three-way comparison

Our rail coverage is a single comparison model. All three names share the same framework: 14.5x base exit EV/EBITDA, mid-year discounting, PP&E-linked D&A, and live CAPM WACC. The table below shows every name side by side.

METRIC	UNP	CSX	NSC
Current price	$286.43	$48.28	$323.73
Beta (live)	0.95	1.21	1.29
WACC (live CAPM)	8.77%	9.72%	10.01%
Bear target	$158.44	$20.24	$123.68
Base target	$217.75	$30.89	$193.40
Bull target	$255.30	$37.10	$228.72
Blended (25/50/25)	$212.31	$29.78	$184.80
Downside to blended	-25.9%	-38.3%	-42.9%
EV/EBITDA (TTM)	15.1x	15.5x	15.4x
2025 revenue	$24.51B	$14.09B	$12.18B
2025 FCF	$5.50B	$1.71B	$2.16B

UNP screens as the best long on fundamentals (lowest WACC, strongest FCF, best network) but remains overvalued. CSX is the outright Sell: deteriorating revenue, compressing margins, and collapsing FCF at a premium multiple. NSC is stabilizing but priced for UNP-like execution it has not yet delivered.

Reverse DCF: what the market is pricing in

At $323.73, NSC carries a market-implied five-year revenue CAGR of roughly **~9%** under our base-case FCF margin held flat and the 10.01% live WACC, well above what the operating outlook supports at a 14.5x exit multiple.

Model

Full three-scenario 2026-2031 DCF with live CAPM, beta decay, detailed EBIT bridge, Gordon perpetuity and EV/EBITDA exit terminal with weighting toggle, mid-year discounting, and implied-ERP tab. Comparison tab covers all three Class 1s.

Risks to our Hold

- **Operating ratio recovers to UNP-like levels faster than modeled.**
- **An industrial rebound lifts merchandise volumes sharply.**
- **The 10-year yield retreats, mechanically lifting every scenario target.**

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